

PITCH — CPNG — VERDICT

ADJUDICATED 2026-09-16 — FLAT — consensus kill (conviction 7/10). The court found nothing to own at this price; the reopen gates below are the only path back.

What we believe

Coupang's Korean demand did recover after the 2026 data breach, and that recovery is now measurable in won, not just in company slides: August monthly active users hit 35.95M (up ~510k from July) and monthly card spend crossed ₩5T, a record, after troughing at ₩4.02T in February (Herald/SBS, per Blue Bench). The churn-death-spiral story is, on the demand axis, wrong.

We also believe that this is not the same as a trade. Three things sit between “demand recovered” and “the stock makes money”:

1. **The recovery does not convert into dollars.** Q2-26 consolidated revenue grew +4% reported vs +10% constant-currency; product-commerce grew +1% reported vs +8% cc. A USD-listed share earns the reported number. Worse, gross profit *fell* 3% reported and gross margin fell 188bps to 28.2% (8-K Ex-99.1, 2026-08-04).
2. **Cash generation is genuinely impaired.** 1H26 operating cash flow \$551M vs \$899M in 1H25 (–39%). TTM OCF \$1.4B is –\$484M year over year; TTM FCF is \$105M. Against ~\$26B of market cap and \$6.1B cash / ~\$3.7B debt, that is roughly 229x EV/FCF. We tested the charitable explanation — that the ₩624.6B (~\$278M) privacy fine caused the cash decline — and it fails: the fine was *announced* 2026-06-10 and accrues to liabilities; an accrual does not reduce operating cash flow.
3. **Q3 has a hole our best instrument cannot see.** The July Incheon fulfillment-center fire destroyed building, inventory and operating capacity, with press estimates in the hundreds of billions of won. MAU and card spend measure whether customers want to buy. They cannot measure whether Coupang can deliver.

So: we believe the bull's *fact* and reject the bull's *trade*. Fair-value-wise, the one independent updated fair value in the record sits near \$15.00 — essentially the tape at \$14.745. There is no visible discount to harvest.

What the market believes

The market believes exactly what we believe about demand, and is repricing earnings, not revenue. FY26 revenue consensus is unchanged at \$37.8–38.1B; FY26 EPS has been walked from –\$0.168 to –\$0.196 to –\$0.227. Pre-Q1 street was +\$0.14 EPS on \$38.1B — the whole move is on profitability, not units.

The tape says the same thing. Coupang closed \$16.75 on print day (2026-08-04), fell ~7% after hours, and trades \$14.745 now: about -12% *after* the 24.7M active-customer rebound printed, and after the August Korean demand data that the bull case calls decisive. Short interest is 27.9M shares, 2.17% of float, 1.39 days to cover — nobody is trapped short. This is real-money selling, not a coiled spring.

Stock is 56.7% off its 52-week high (\$34.07) and 1.83% off its 52-week low (\$14.48).

Why we might have edge

Honest inventory — this is short:

- **KRW.** The gap between +10% cc and +4% reported is a currency wedge, and the cost base is also in won. If the won mean-reverts, reported revenue and reported gross profit re-rate with no operational change. Neither bench priced this. It is the cleanest un-owned upside mechanism in the file.
- **The remaining \$907M buyback authorization.** At \$14.745 that is ~61.5M shares, about **3.1 days of proxy ADV** — a real, non-trivial bid if management uses it. Management's credibility is dented (23M shares bought at ~\$19.96 in Q2, now ~-26%, ~\$122M of mark destroyed in one quarter), but the residual authorization is materially more accretive at \$14.7 than at \$20.
- **Gross-profit decomposition.** The -188bps GM print is a fact neither bench initially used and the sell-side commentary in the record barely discusses. If the Q3 8-K shows the contraction is fire/fine-driven rather than structural mix, the market has to re-do work it hasn't done.

That is a *conditional, event-gated* edge, not a live one. There is no edge in the demand story: we agree with the street and the street agrees with us.

Why it might be priced in

- The demand refutation printed publicly on 2026-08-04 and the stock fell 12% afterwards. The market saw the datum and kept selling. (Named mechanism: **post_refutation_tape_decay** — a “market hasn't seen this” thesis where the market has.)
- The cash-flow deterioration is a headline bullet in Coupang's own earnings release and in press coverage — not a discovery.
- The FX basis mismatch is in the 8-K itself, in the same sentence as the cc number.
- Margin contraction of 300–400bps is *guided by the company* into mid-2027. Buying “margins are fine” against management's own guidance is not contrarian; it is inattentive.
- Post-audit kill-stack composition: 2 novel findings vs 5 consensus findings. A majority-consensus kill stack caps sizing on both sides — but the one leg that was genuinely anchored against the street (we-agree-with-consensus-on-demand) is the leg the bull case needed.

What could go wrong

Failure narrative 1 — We enter on the reopen gate and the “positive reported PC growth” print is FX luck, not operations. Reported growth turns +2% because the won firmed, gross margin stays sub-28.2%, and the stock gets one relief day before resuming the earnings downgrade path. *Tripwire exists*: the 2026-11-03 print — reported (not cc) PC growth **and** GM vs the 28.2% base, plus USDKRW at print date. Monitorable; sized-for.

Failure narrative 2 — The Incheon fire loss lands bigger and slower than the press number, and insurance recovery is partial, contested, or booked in a different period than the loss. Loss hits Q3-26 operating expense; recovery, if any, arrives in 2027 as a non-operating credit. Ex-item margin never gets cleanly computable, so the 8-K reopen gate never actually trips clean and we sit in a position we entered on a gate that turned out to be un-gradeable. *Tripwire exists but is weak*: an 8-K with quantification is required for the gate, and the gate can fail by *silence* — which looks like “no news” rather than “gate failed.” We name that asymmetry explicitly.

Failure narrative 3 (NO MONITORABLE TRIPWIRE) — Korean regulatory/legislative escalation beyond the PIPC fine. The ₩624.6B fine is one action by one regulator. What has no tripwire in our stack: a follow-on Fair Trade Commission proceeding, a National Assembly platform-regulation bill, MFDS/labor-ministry action after a fatality or a second fire, or a political decision to make the breach a governance case rather than a fine. **None of these file an 8-K on the day they happen, none appear on EDGAR in real time, and none are in our Korean-language feed — we have no feed.** A single 10% down-day arrives with no prior signal in any sensor we own. **Unknown-unknown class: extra-jurisdictional sovereign/regulatory cascade** — adverse state action in a non-US home jurisdiction, disclosed first in a foreign language to a foreign regulator, reaching us only after the price. A related unnamed sub-class: **physical-plant tail recurrence** (a second node loss), which our FEMA-based hazard detector structurally cannot see because Korean sites are outside its coverage.

Reflexive / structural leg. - Our size vs liquidity: we have no ADV feed in the pack. Derived proxy from the benches’ own short-interest math: 27.9M shares ÷ 1.39 days to cover ≈ **20.1M shares/day ≈ \$296M/day**. A 1.0% weight per \$100M of book = ~67.8k shares = **0.34% of proxy ADV**. We are not the marginal price-setter at any size we would carry. Caveat: days-to-cover is a ~20-day average and is itself unverified (item 5 below). - *Predicted flow*: the \$907M authorization (~3.1 days ADV) is the only large predictable buyer. It is also the flow most likely to be *paused* — a board that bought at \$19.96 into a -39% OCF quarter may well be told to conserve cash, especially with a fine payable and a fire loss unquantified. So the flow we would be leaning on is the flow most correlated with the risk we would be carrying. That is the reflexive trap here: **the buyback bid and the cash-flow impairment are the same variable with opposite signs.** - *Doctrine interactions*: **post_refutation_tape_decay** (our refuting datum is already tape-priced) and **kpi_blind_supply_shock** (our demand instrument is blind to the binding supply constraint) both fire *against* entry, and they compound — the first says our evidence is stale, the second says our evidence is aimed at the wrong axis. Meanwhile **no-squeeze** (2.17% float short) removes the mechanical rebound path, so a wrong entry has no rescue mechanic and must be exited manually into the same distribution that created the low.

If this position loses money, the most likely reason will be ____ that we bought a confirmed demand recovery that the market had already priced, into a quarter whose damage was on the supply and cash-flow side where our instruments were blind.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Stock sits 0.5% off its low at \$14.56” (bull brief)	Recomputed against the pack tape	Pack: px \$14.745 , low \$14.48 → +1.83% off low , dd52 –0.567	NO — and both our own benches also got it wrong. Red quoted \$14.675/+1.3%; Blue quoted \$14.73/+1.73%. Three different prices from one pack. Disposition: pack governs; 40–50bp of off-low is not entry-decisive, but the sloppiness is logged
“Demand refutation is not yet priced”	Tape vs print-day close	\$16.75 close 2026-08-04 → \$14.745 = –12.0% after the rebound printed, on 2.17% float short	REFUTED (thesis claim). Red tagged this NOVEL; it is CONSENSUS — it is carried in the very press piece Red cited. Our bench inflated its own novelty
Korean demand telemetry (MAU, card spend)	Red logged UNCHECKABLE; Blue pulled it	Aug MAU 35.95M (+510k m/m); card spend >₩5T, record; Feb trough ₩4.02T	CONFIRMED — against our own Red bench. Red’s “MAU counts opens, not spend” caveat is valid for MAU and does not apply to card spend
Growth basis (reported vs cc)	8-K Ex-99.1 primary	Consolidated +4% reported / +10% cc; PC +1% / +8% cc; gross profit –3% reported, GM 28.2% (–188bps)	CONFIRMED. Red missed the harder number (gross profit), Blue caught it
“TTM OCF \$1.4B is a cash floor”	10-Q MD&A cash-flow table + issuer release	1H26 OCF \$551M vs 1H25 \$899M (–39%); TTM OCF –\$484M y/y; TTM FCF \$105M	REFUTED (thesis claim). Trailing aggregate masked the current-period direction
“The –39% OCF gap is just the ₩624.6B fine” (our own exoneration test)	<u>8-K 2026-06-10</u> + accounting logic	Fine is an accrual → offsets in accrued liabilities, does not reduce OCF	NO — our exoneration hypothesis failed. Stated plainly: we tried to rescue the cash leg and could not
FCF multiple	Cap-structure recompute	Red used a basic share count (1,781M from \$570M/\$0.32) and skipped the mandated cap-structure pull → 249x. Correct: cash \$6,110M, debt ~\$3.7B → EV/FCF ≈ 229x ; cap/FCF at 1,855M diluted ≈ 260x	Directionally confirmed, methodologically wrong. Red was “right by luck”
Buyback mark	Arithmetic on 23.2M sh / \$459M	~\$19.96 avg vs \$14.745 = –26%, ~\$122M destroyed in one quarter; \$907M authorization remains	CONFIRMED but REDUCED. Ex-post marks are not forward evidence, and Red suppressed the accretive residual authorization. Genuinely

Claim	How checked	Found	Confirmed?
			novel (computed, unpublished)
App recent-cohort ratings as churn evidence	Record facts + velocity check	Coupang 2.3 recent vs 3.38 lifetime; Eats 2.0 vs 4.84. Velocity 0.0 and 0.13 reviews/day → recent cohort has essentially no dated sample	NEAR-OVERTURNED as demand evidence. Our Red bench leaned on it; it survives only as “repair not confirmed.” Bench error logged
“Transcript +16% underlying spend”	Venue comparison	Transcript-only, cohort = customers “who remained or returned” (excludes churn); 8-K chose PC +1% reported	CONFIRMED as a survivorship caveat , but downgraded from venue-divergence: the 8-K <i>did</i> disclose a non-survivorship metric (24.7M actives, +3%)
“~\$25.8 mean price target / 43% upside”	Verification attempt	UNVERIFIED ; independent updated fair value ~\$15.00, at/below tape	NO — the discount leg is unsupported
Revenue vs street	I/B/E/S-derived + SWS	Q2 rev \$8,856M vs ~\$9,050M cons (–2.1%) , +3.9% y/y on the \$8,524M comp; FY26 rev unchanged \$37.8–38.1B; FY26 EPS –0.168 → –0.196 → –0.227	CONFIRMED. Divergence vs street on demand ≈ zero
Squeeze potential	Short interest	27.9M sh, 2.17% float, 1.39 DTC	CONFIRMED — no squeeze. Correctly used as sizing/timing, never as a rejection
ADV (for the reflexive leg)	Derived , not fed: 27.9M ÷ 1.39 DTC	≈20.1M sh/day ≈ \$296M/day ; 1%-of-\$100M-book = 0.34% of ADV	PROXY ACCEPTED, not confirmed. Disposition: must be replaced with an IBKR 20-day ADV before any weight >1%
Insider cluster (2x Form 144 on 08-10, Form 4s 08-11, six Form 4s 06-12)	EDGAR index only, no document fetch	Timing is suggestive (days after print; day after fine 8-K). Blue offers a benign read: June cluster consistent with post-AGM director grants	NOT CHECKED — coverage gap, reported not skipped. Carried to unverified item 4
Seasonality of “+3% actives vs 7.2% two-year CAGR”	desk/seasonality.py	Tool not runnable → figure is unseasonalized	NOT CHECKED — coverage gap
Korean hazard/insurance layer	fema_nri_hazard	Korean sites outside FEMA NRI coverage — the exact hazard class (July Incheon fire) is invisible to our detector	UNCHECKABLE — named structural gap , sensor added below
Science brief presence	Input inspection	No SCIENCE BRIEF in the inputs (CPNG is not a deep-tech name)	Confirmed absent → SCIENCE BRIEF DIGEST section omitted per rule
Prize table applicability	Bench rulings vs deck rules	Both benches wrote “PRIZE-TABLE: N/A — \$35B-revenue operator, not a pre-revenue project developer”	PARTIALLY OVERRIDDEN at deck level. The benches’ N/A answers the <i>magic-funding counterfactual</i>

Claim	How checked	Found	Confirmed?
			question. The deck rule triggers on time-gated/private unverified items , and we have three (fire loss, Q3 reported print, 9M OCF). Table below is therefore deck-provisional and flagged as not bench-ratified

PROPOSED ENTRY BANDS

Both courts say NO ENTRY. Current action: FLAT. Size: 0.0% of book. No orders working.
Reopen bands follow.

Reopen Gate A — reported-revenue inflection (fundamental, primary). At the Q3 print: **PC revenue growth positive on a reported (not cc) basis** AND consolidated reported revenue $\geq$ consensus AND **gross margin $\geq 28.2\%$** (the Q2 base). If A trips: re-court, then a starter of **0.75–1.00% of book** on a **close above \$16.75** (the print-day close) on above-average volume — Red's own change-of-mind test, which requires the tape to confirm repricing rather than another ignored headline. Entry band **\$16.75–\$17.60**; do not chase above \$17.60 (that is $>19\%$ above spot and inside the EV band, so the edge is gone).

Reopen Gate B — fire quantification (event). An 8-K or 10-Q that quantifies the Incheon loss **net of insurance recovery** such that ex-item product-commerce EBITDA margin **beats the guided 300–400bps contraction**. If B trips alone (no tape confirmation): **0.50% starter**, band **\$14.00–\$15.50**, i.e. around spot, because B is a removal-of-uncertainty event rather than a growth event.

Reopen Gate C — cash-flow gap closes (fundamental). The Q3 10-Q showing **9M26 OCF $\geq$ 9M25** — the -39% 1H gap closing on a like-for-like nine-month basis, not a TTM average. If C trips: **+0.50%** add on top of A or B. C alone, without A, is not an entry (cash can improve on working-capital timing).

Deep-value reopen (price). Below \$11.00 — the Downside anchor in the table below, -25% from spot — triggers a *fresh adversarial court on deep-value ground* (cash \$6.1B vs cap, buyback capacity, Korean market-structure moat), not an automatic bid. No mechanical buy at \$11; the sensor arms a court, not an order.

Exits/trim (only relevant post-entry). Hard stop on a close back below the entry-band floor (below \$16.75 for a Gate-A entry; below \$13.90 for a Gate-B entry). Mandatory trim to zero if a subsequent 10-Q shows GM below 28.2% and OCF still negative y/y — that combination refutes both A and C at once. Trim half on any second Korean regulatory action (fine, injunction, or bill passing committee), because that is the failure class with no tripwire and we cannot manage it with information.

Catalyst dates. 2026-11-03 Q3 print — yfinance-derived, **UNCONFIRMED** (no PR or 8-K names it; prior cadence Q1 2026-05-05, Q2 2026-08-04, per the Q2 8-K exhibit); ~37 trading days out at pack time, **not** race-critical. **~2026-11-10** Q3 10-Q window (Gate C, fine-payment timing). **2026-12-18** December option cycle (tax boundary for any option expression). **2026-12-31** tax-year boundary. Fire-quantification 8-K: **date unknown, could arrive any day** — this is the one catalyst we cannot calendar.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 11.0 (deck-provisional: Downside scenario anchor (-25.4% from 14.745); triggers a fresh adversarial court on deep-value ground)
- filing watch: 8-K until 2027-03-09 (deck-provisional: Incheon fire loss quantification net of insurance recovery; PIPC fine payment or Seoul Administrative)
- dated pack CPNGI2026-11-03: CPNG: Q3 2026 print — reported (not constant-currency) product-commerce growth AND gross margin vs the 28.2% base. (date confirmed=False)
- dated pack CPNGI2026-11-10: CPNG: Q3 10-Q window — 9M operating cash flow test and fine-payment timing. (date confirmed=False)
- dated pack CPNGI2026-12-31: CPNG: Tax-year boundary — any option expression must expire on or before the December 2026 cycle during a harvest year. (date confirmed=True)
- dated pack CPNGI2026-12-18: CPNG: December 2026 option cycle - last tax-permissible expiry for any option expression in a harvest year (date confirmed=True)

What remains unverified

1. **Incheon fire loss quantum, net of insurance recovery.** Not drainable now — private until an 8-K or the Q3 10-Q. Estimate: gross loss ~~₩~~**\$200–500B (~\$145–360M)** across building, inventory and lost operations (press describes “hundreds of billions of won”); Korean commercial-property programs typically recover 50–80%, giving a **net pre-tax hit of ~\$40–150M**. $p(\text{net hit} \geq \$100\text{M}) = 0.45$.
2. **Q3-26 reported (not cc) product-commerce revenue growth — sign and magnitude.** Time-gated to the print (~2026-11-03). Estimate: **-1% to +4% reported, midpoint +1.5%**; $p(\text{positive}) = 0.55$, built from Q2’s +1% reported plus record August MAU and card spend, holding the won flat. If the won weakens further, the midpoint goes negative.
3. **9M26 operating cash flow vs 9M25.** Time-gated to the 10-Q (~2026-11-10). Estimate: 9M26 **\$850M–1,050M** vs 9M25 **~\$1,300M** (1H25 \$899M + a ~\$400M Q3-25 run-rate). $p(9\text{M}26 \geq 9\text{M}25, \text{ i.e. Gate C trips}) = 0.15$.
4. **Insider distribution: identity and size behind the two Form 144s (2026-08-10), Form 4s (2026-08-11) and the six-Form-4 cluster (2026-06-12).** Drainable now — EDGAR document fetch; only the index was read. Blue’s benign read (post-AGM director grants for the June cluster) is plausible and untested.
5. **Actual ADV and 20-day volume profile.** Drainable now via IBKR. Our \$296M/day is derived from days-to-cover, which is a stale average. Load-bearing for the reflexive leg above any 1%

weight.

6. **Options chain: chain-level midpoint IV, real quotes, IV percentile, and realized vol.**

Drainable now via IBKR. **Nothing** in the record supports an IV number, so we refuse to invent one — see the vol read below for what this blocks.

7. **Q3 print date confirmation.** Not drainable until the company issues a PR. Estimate: $p(\text{print falls } 2026-10-28 \rightarrow 2026-11-06) = 0.80$ on prior cadence (Q1 2026-05-05, Q2 2026-08-04).

8. **Post-fire fulfillment capacity restoration — percentage of Korean network offline and for how long.** Not drainable now; no filed quantification. Estimate: one node of a >100-node network $\rightarrow$ **1–3% of national capacity impaired for 1–2 quarters**; $p(\text{management gives any explicit capacity quantification on the Q3 call}) = 0.50$.

9. **PIPC fine cash-out timing and appeal status (~~₩~~624.6B / ~\$278M).** Not drainable now.

Estimate: $p(\text{cash paid on or before } 2026-12-31) = 0.40$; $p(\text{appeal filed with the Seoul Administrative Court}) = 0.60$, on the base rate for large Korean platforms contesting nine-figure regulatory fines.

10. **Seasonality of the active-customer series** (+3% actives vs a 7.2% two-year CAGR). Not drainable now — desk/seasonality.py is not runnable. Estimate: Korean e-commerce Q2 is a **seasonally soft** quarter; deseasonalizing likely improves the +3% by **50–150bps**, i.e. it flatters the bear read slightly. $p(\text{deseasonalized growth still below the 2-yr CAGR}) = 0.85$.

PRIZE TABLE + VOL READ

Standing caveat, stated plainly: both benches wrote “PRIZE-TABLE: N/A.” Their reasoning is sound on its own terms — CPNG is a \$35B-revenue operator, so there is no pre-revenue magic-funding counterfactual to price. But the deck rule triggers on *time-gated or private* unverified items, and items 1, 2, 3, 8 and 9 above are exactly that. This table is therefore **deck-provisional and not bench-ratified**.

Anchor: spot **\$14.745**. Independent fair value in the record: **~\$15.00**. Adjustments are made from those two anchors, not from a DCF we did not build. Horizon: through the December 2026 cycle (~112 days, $T \approx 0.31y$).

Scenario	What has to happen	p	Price	Contribution
Downside	Fire net hit $\geq$ \$100M, Q3 reported PC still negative, GM below 28.2%, 9M OCF gap widens; fine paid in cash; buyback paused	0.25	\$11.00 (–25.4%)	2.75
Base	Reported growth ~flat, GM stabilizes near 28%, fire loss messy/unquantified, OCF still down y/y, street keeps cutting EPS	0.45	\$14.50 (–1.7%)	6.53
Upside	Gate A trips (reported PC positive, GM	0.25	\$19.50 (+32.2%)	4.88

Scenario	What has to happen	p	Price	Contribution
	≥28.2%), fire quantified small net of insurance, buyback resumes into the \$907M			
Tail up	Gate A plus KRW mean reversion, reported converging toward cc, margin inflection re-rates the name	0.05	\$25.00 (+69.5%)	1.25

EV = \$15.40 → +4.4% vs spot. That is the whole answer: a 4.4% expected return with a 25% chance of –25% is not a position. It is a watch-list.

Dispersion. $\sigma_{\text{table}} = \$3.74 = 25.4\% \text{ of spot}$, which annualizes to **≈45.8%** over $T = 0.31y$. That is the number any real option quote must be compared against.

Bimodality. The table is fork-dated on 2026-11-03 (and on an unschedulable fire 8-K). Outcomes cluster at \$11 and at \$19.50+, with the Base case a thin plateau rather than a peak. A single-strike expression will be mispriced by any lognormal quote in either direction, and the “cheap calls” conclusion is especially fragile here.

Expression math, priced off the table itself. $C_{\text{ours}} = \sum p_i \times \max(S_i - K, 0)$, December 2026 cycle:

Candidate	C_ours (undiscounted)	as % of spot	Chain midpoint (real quote)	Verdict
Dec-2026 C15.0	\$1.625	11.0%	NOT IN RECORD	cannot compare
Dec-2026 C17.5	\$0.875	5.9%	NOT IN RECORD	cannot compare
Dec-2026 P12.5 (CSP gate)	\$0.375	2.5%	NOT IN RECORD	cannot compare

And that is the honest output: the arithmetic does not complete. There is no options chain in the evidence pack — no strikes, no quotes, no IV surface, no IV percentile, no realized vol series. We therefore **cannot** state IV vs RV, cannot state an IV percentile, and cannot state a VRP (IV – RV). We will not substitute an underlying aggregate IV feed for chain-level midpoint IV; that is precisely the TSSI error (aggregate feed 71 vs chain reality 101), and on a bimodal fork-dated table it would flip the recommendation. Two further honesty notes on the C_ours figures: they are **real-world expectations, not risk-neutral prices** (so they are biased high versus a fair quote in a name with negative drift), and they are undiscounted.

Decision rule, pre-committed for when the chain is pulled (unverified item 6): - If chain midpoint IV on the Dec-2026 K=15/17.5 strikes is **materially below ~45.8%**, the table says a gated add may be expressed in **calls** (K=15 preferred — K=17.5 only pays in Upside/Tail and costs 5.9% of spot for 30% of the probability mass). - If chain IV runs **materially above ~45.8%**, the route is **premium-selling gates**, and the natural expression is a **CSP at \$12.5** — which is

above the \$11 Downside anchor, so we would be short a put into the exact scenario the table gives 25% weight. That routes to “no” unless the premium exceeds the C_ours-implied \$0.375 by a wide margin. - If IV is **near 45.8%**, there is no vol edge and the instrument is stock or nothing.

INSTRUMENT RECOMMENDATION (output of the arithmetic): NONE. No stock, no calls, no covered calls, no cash-secured puts, 0.0% of book. The reasons, in order: (i) EV edge of +4.4% is inside the noise of a 25% one-sigma table; (ii) the vol comparison is **uncomputable** because the chain is not in the record; (iii) the table is bimodal, so even a favorable IV reading would not license a single-strike expression.

TAX OVERLAY. 2026 is a **harvest year**. We hold no position, so there is no loss to harvest today — the overlay binds prospectively. Any option expression must expire **on or before the December 2026 cycle (2026-12-18)** so that the loss branch lands in the 2026 tax year; an expiry in 2027 defers the loss and is **excluded** unless the edge numerically dominates. It does not: +4.4% EV does not dominate anything. Note the live conflict — the fire-quantification 8-K has **no scheduled date** and could easily arrive in Q1-2027, meaning the catalyst most likely to resolve the position sits *outside* the tax-permissible expiry window. That misalignment is a second, independent reason the option route is closed, and a first-order reason to prefer stock-with-gates over structure if and when a gate trips.

Primary sources of record: Q2-26 8-K Ex-99.1 · Q2-26 10-Q · 8-K 2026-06-10, PIPC fine

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{"price_gates": [{"level": 11.0, "direction": "below", "basis": "Downside scenario anchor (-25.4% from 14.745); triggers a fresh adversarial court on deep-value ground, not an automatic bid"}, {"level": 16.75, "direction": "above", "basis": "2026-08-04 print-day close; a close above it on rising volume is the Gate-A tape confirmation that demand data is being repriced, not ignored"}], "event_gates": [{"forms": ["8-K"], "why": "Incheon fire loss quantification net of insurance recovery; PIPC fine payment or Seoul Administrative Court appeal; buyback usage against the residual $907M authorization; Q3 print-date confirmation"}, {"forms": ["10-Q"], "why": "9M26 vs 9M25 operating cash flow test (Gate C) and gross margin vs the 28.2% base"}, {"forms": ["4", "144"], "why": "Identity and size of the Aug 10-11 and Jun 12 insider filings remain unfetched (unverified item 4)"}], "catalyst_dates": [{"date": "2026-11-03", "what": "Q3 2026 print - reported (not cc) product-commerce growth AND gross margin vs the 28.2% base", "confirmed": false}, {"date": "2026-11-10", "what": "Q3 10-Q window - 9M operating cash flow test and fine-payment timing", "confirmed": false}, {"date": "2026-12-18", "what": "December 2026 option cycle - last tax-permissible expiry for any option expression in a harvest year", "confirmed": true}, {"date": "2026-12-31", "what": "Tax-year boundary - loss branch must land in 2026", "confirmed": true}], "immediate_entry": null, "unverified": [{"item": "Incheon fire loss quantum net of insurance recovery", "instrument": "8-K / Q3 10-Q (~2026-11-10) fetch; Korean fire-authority incident notices", "drainable_now": false, "estimate": {"range": "gross KRW 200-500B (~$145-360M); net pre-tax hit ~$40-150M after 50-80% recovery", "basis": "press 'hundreds of billions of won' + Korean commercial-property recovery base rate", "p": 0.45}}, {"item": "Q3-26 reported (not constant-currency) product-commerce revenue growth - sign and magnitude", "instrument": "Q3 8-K Ex-99.1 on print date 2026-11-03", "drainable_now": false, "estimate": {"range": "-1% to +4% reported, midpoint +1.5%", "basis": "Q2 +1% reported, record Aug MAU 35.95M and >KRW 5T card spend, won held flat", "p": 0.55}}, {"item": "9M26 operating cash flow vs 9M25 (Gate C)", "instrument": "Q3 10-Q XBRL pull, ~2026-11-10", "drainable_now": false, "estimate": {"range": "9M26 $850M-1,050M vs 9M25 ~$1,300M", "basis": "1H26 $551M actual, 1H25 $899M actual, ~$400M Q3-25 run-rate", "p": 0.15}}, {"item": "Insider distribution: identity and size behind 2x Form 144 (2026-08-10), Form 4s (2026-08-11), six Form 4s (2026-06-12)", "instrument": "EDGAR document fetch (index only was read)", "drainable_now": true, "estimate": null}, {"item": "Actual 20-day ADV and volume profile", "instrument": "IBKR historical volume pull", "drainable_now": true, "estimate": null}, {"item": "Options chain: chain-level midpoint IV, real bid/ask for Dec-2026 K=15/17.5/P12.5, IV percentile, realized vol", "instrument": "IBKR chain pull - chain-level midpoints only, never the underlying aggregate IV feed (TSSI 71 vs 101)", "drainable_now": true, "estimate": null}, {"item": "Q3 print date confirmation (2026-11-03 is yfinance-derived)", "instrument": "Company PR / 8-K naming the date", "drainable_now": false, "estimate": {"range": "2026-10-28 to 2026-11-06", "basis": "prior cadence Q1 2026-05-05, Q2 2026-08-04", "p": 0.8}}, {"item": "Post-fire fulfillment capacity restoration - share of KR network offline and duration", "instrument": "Q3 call transcript; KR hiring-velocity sensor (Coupang Fulfillment job postings); walk-around of Incheon node", "drainable_now": false, "estimate": {"range": "1-3% of national capacity impaired for 1-2 quarters", "basis": "one node of a >100-node sibling network structure", "p": 0.5}}, {"item": "PIPC fine cash-out timing and appeal status (KRW 624.6B / ~$278M)", "instrument": "Seoul Administrative Court docket watch; 8-K; 10-Q accrued-liabilities and financing detail", "drainable_now": false, "estimate": {"range": "p(cash paid by 2026-12-31) 0.40; p(appeal filed) 0.60", "basis": "base rate for large Korean platforms contesting nine-figure regulatory fines", "p": 0.4}}, {"item": "Seasonality of the active-customer series (+3% actives vs 7.2% two-year CAGR)", "instrument": "desk/seasonality.py (currently not runnable) or KR e-commerce quarterly seasonal factors", "drainable_now": false, "estimate": {"range": "deseasonalizing adds 50-150bps to the +3%", "basis": "KR e-commerce Q2 is a seasonally soft quarter", "p": 0.85}}]}

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ADJUDICATION — 2026-09-16 15:36Z

Street already models the demand recovery (FY26 revenue unchanged, EPS cut); edge divergence is zero. TTM cash-flow decline sustained.

REOPEN GATES: reported (not cc) Product Commerce revenue growth positive, OR 8-K quantifying fire loss net of insurance, OR 9M26 OCF $\geq$ 9M25 → re-court